

Saudi Arabia Q-commerce Market Analysis

Food delivery Market as a core model of Q-commerce

Mostafa Soliman Donia | Business Analyst & Business Developer

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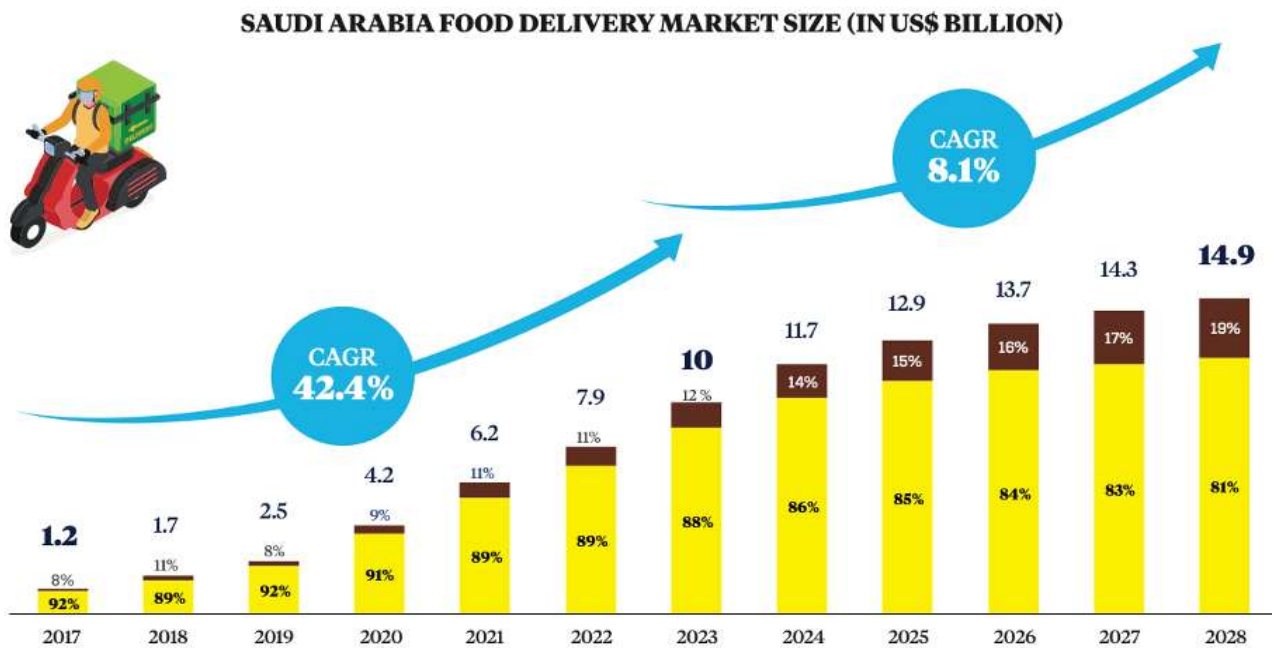
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1. Saudi Arabia's Q-Commerce Landscape 2025: Market Overview and Competitive Forces (food delivery market as a best model)

1.1.Introduction

As an overview of the Saudi Market the most important notice and fact is that In 2024, non-oil real GDP grew by 4.2 percent, primarily driven by private consumption and non-oil private investment, with retail, hospitality, and construction leading growth (fund, 2025). This is particularly evident in the Saudi authorities' efforts towards economic diversification and reducing dependence on oil revenues. As a result of these policies, non-oil sectors such as retail, wholesale, restaurants, water services and insurance have flourished. The contribution of oil products to Saudi Arabia's gross domestic product has declined. Digital services now account for approximately 15% of GDP according to the Ministry of Communications and Information Technology. In addition to efforts to support the technology, artificial intelligence and data center sectors, these developments have boosted rapid growth, particularly in food delivery applications in the Kingdom of Saudi Arabia, which is the focus of our report.

1.2.An overview of the Food delivery market as strong model of theQ-commerce in Saudi Arabia



(Figure 1 , Source : (Redseer Consultants ,Lucidity insights , 2024)

Q-commerce refers to the rapid delivery of products. The Saudi market is witnessing extremely fierce competition and significant development in this sector. The reasons behind this expansion may be attributed to:

1. Market saturation with smartphones.
2. Generation Z and the pursuit of convenient, fast and comfortable services.

3. The COVID-19 crisis, which has strengthened the role of e-commerce in general and the food delivery model in particular.
4. The digital transformation witnessed by the Kingdom of Saudi Arabia, which has inevitably affected the e-commerce and food delivery market.

Although the Saudi market is a fertile environment for expansion in Q-commerce and the food delivery market, it carries with it many potential risks and threats.

As for Opportunities it can be as follows :

- Market readiness to enter as a technology player in the field of e-commerce, provided that current and future threats are overcome.
- The possibility of achieving high profits, especially after the expansion of this field, which no longer includes only food, but has extended to include groceries, personal care items, and others.

As for the challenges:

- Infrastructure and fulfillment centers challenges (Viond Naie, 2025).
- Technological excellence through the development of an easy-to-use and comprehensive application.
- Profitability through maintaining profit margins, providing fast service, and reducing operating costs while maintaining quality as Revenue is expected to show an annual growth rate (CAGR 2025-2030) of 11.39%, resulting in a projected market volume of US\$896.17m by 2030 and the average revenue per user (ARPU) is expected to amount to US\$147.70. (Naie).
- Fierce competition, especially with the entry of strong international players such as Keeta in the last year.
- Legal compliance, especially with regard to (TGA) regulations.

1.3. Most Recent trends in the fast-moving consumer goods market:

1. The line between e-commerce and food delivery is gradually disappearing.
2. Rising consumer expectations for shorter delivery times.
3. Extreme need to rely on data analysis and warehouse management.
4. Huge investments in cloud kitchens and dark stores (such as cokitchen by jahez, X by the Chefz)
5. The expansion of these services to include personal care items, pharmacy products, groceries, and more.
6. The entry of Chinese giant Keeta into the market with high efficiency, competitive prices, exceptional logistics services, and comprehensive coverage of many services.

1.4. The Major competitors in Saudi Q-Commerce Market

The Saudi Q-commerce market witnesses numerous players compete extremely with each other in the market trying to provide the best customer experience ,as for instances:

HungerStation

Founded in 2012, is one of Saudi Arabia's largest food delivery platform. Operating in over 100 cities, it partners with more than 55,000 restaurants and has fulfilled upwards of 300 million orders nationwide. The company's leadership position is supported by its extensive merchant network and diversified offerings, which include groceries, pharmacies, and flower delivery it's HungerStation Plus (HPlus), offering free delivery on eligible orders for SAR 69 per month. Leveraging subsidiary of Delivery Hero advanced logistics technology and data-driven optimization, maintaining its dominance as the market leader in Saudi food delivery and Q-commerce.

Talabat

founded in Kuwait in 2004 and operating in Saudi Arabia since 2008, is one of the region's most established food-delivery brands. It collaborates with over 10,000 restaurant partners and employs approximately 60,000 riders within the Kingdom. Owned by Delivery Hero, Talabat benefits from a shared technology backbone and regional logistics efficiencies. The platform's services extend beyond restaurant delivery to include Talabat Mart for groceries and Talabat Pay for cashless transactions. Its success in Saudi Arabia is built on reliability, consistent customer experience, and integration into the larger Delivery Hero ecosystem, though its market share trails HungerStation and Jahez in local preference rankings.

ToYou

Launched in 2023, ToYou is a Saudi-based "super app" integrating food delivery, ride-hailing, and e-commerce. It has gained rapid traction through partnerships with major international chains such as McDonald's, Starbucks, and KFC. The platform differentiates itself by incorporating fintech features like "Buy Now, Pay Later (BNPL)", offering flexible payment solutions for users. ToYou's multi-service approach aligns with Saudi Arabia's Vision 2030 digitalization goals, positioning it as one of the fastest-growing domestic platforms in the post-pandemic delivery economy.

The Chefz

Founded in 2019, The Chefz targets the premium dining and events segment of Saudi Arabia's delivery market. It collaborates with more than 12,000 restaurants and over 500 verified chefs to provide luxury food delivery, catering, and private chef services. The platform manages full logistics—from ingredient sourcing to delivery—offering customers exclusive access to fine dining at home. The Chefz has gained popularity among affluent users seeking personalized, high-quality dining experiences, making it a distinct player in the upper-tier segment of the Saudi market.

Jahez

Established in 2016, Jahez is one of Saudi Arabia's largest home-grown delivery platforms. Operating in over 50 cities, Jahez has expanded regionally into Bahrain and Kuwait. Its services include Jahez Business for corporate clients and Jahez Plus, a loyalty program providing free delivery and exclusive offers. Financial reports from 2025 show sustained order growth and profitability about 30% of Saudi market orders (Jahez Group KSA, 2025), driven by disciplined cost management and localized operations. Jahez's combination of national brand recognition and operational efficiency solidifies its role as a key domestic competitor to HungerStation.

Lugmety

Lugmety combines restaurant reservations, gourmet food delivery, and catering services, serving as a hybrid between dining and delivery platforms. Available across major Saudi cities, it focuses on premium service quality, allowing users to pre-order, track deliveries, and access fine-dining restaurants not listed on mainstream apps. Lugmety's emphasis on curated experiences and customer loyalty programs has positioned it as a niche operator catering to high-end consumers and hospitality clients.

Mrsool

Founded in 2015, Mrsool operates on a peer-to-peer delivery model that enables users to request deliveries of any product from any location within Saudi Arabia. The platform is known for its “Anything-from-Anywhere” concept,. Mrsool remains one of Saudi Arabia’s most recognized brands, with a loyal customer base attracted by its convenience, autonomy, and personalized service.

Ninja

Ninja is an emerging on-demand delivery platform in Saudi Arabia Competes on speed and reliability, targeting urban professionals with sub-30-minute delivery (Jamil Diab, 2025).

Rabbit

Rabbit is a regional quick-commerce (Q-commerce) startup that entered the Saudi market after initial success in Egypt.. Rabbit operates on a vertically integrated model, owning both inventory and logistics to ensure speed and reliability. While its scale in Saudi Arabia remains limited compared to major players, Rabbit’s emphasis on speed, automation, and micro-warehousing positions it as an experimental but forward-looking competitor in the Q-commerce space.

Keeta

The new disruptive entrant to the Saudi Market Leverages Meituan’s AI, data-driven logistics, and automation know-how (incl. R&D in drones & autonomous vehicles) (Keeta Official website , 2025).

1.5.Competetion nature in the Market before and After the disruptive entry of the Chinese giant keeta

1.5.1The nature of the market before Keeta entered

The Q-commerce (and the food Delivery as a mature Model) market were relatively stable and had the following characteristics:

1. Limited major international presence in the Saudi market.
2. The regulatory, operational and technological structures were largely similar, with Hungerstation leading the way, followed by Jahez and Marsool.
3. Operating costs were low compared to the current situation.
4. Commercial offers were largely stable compared to the current situation, which is characterized by price wars.

1.5.2.The nature of the market after Keeta's entry

The entry of the Chinese giant into the market is what is known in economics as a ‘disruptive entry,’ a term used when a new player enters the market and changes the entire game, which was clearly evident in the Keeta model. We can say that the situation of the Saudi market with regard to q-commerce before 9 September 2024 (the date Keeta was launched in Saudi Arabia) was completely different from what came after it. We can identify some characteristics of the market at the present time:

1. The entry of a new international player that, in just the first four months since its launch, has managed to capture nearly 10% of the Saudi market's demand (Rest of World , 2025).

- 2- Offering a unique experience to users through free delivery and strong commercial offers.
3. Competition has intensified in terms of operational efficiency, and it has become clear that any player who wants to stay in the market must strike a balance between offers, transport costs and delivery quality, or else face decline or complete exit from the market due to an inability to compete.
- 4- All players in the market are now under threat, especially with Keeta acquiring a large share (for a new player), which implicitly means that the shares of the remaining competitors have been reduced.

2.From Market Overview to Data Intelligence: Analytical Insights from a 10 000-Order Dataset of Saudi Food Delivery Platforms

This analytical section complements the qualitative market overview by providing a data-driven Analysis of Saudi Arabia’s food delivery market using a dataset from Kaggle that covering the period between (2022–2025) (Hala Alotaibi-Kaggle, 2025). The dataset comprised 10,000 observations and seven primary variables: Order Number, Order Date/Time, Order City, Restaurant Type, Total Bill (SAR), Delivery Duration (minutes), Customer Rating (1–5 stars),ten Major cities and 12 types of Restaurants.

To enhance analytical depth, additional computed columns were created in Excel — weekdays, hour, bill rating (Low, Medium,High), rush time (Morning Rush (from 7 to 10:59), Lunch Peak(from 11 to 14), Evening Rush(from 17 to 20:59), Off-Peak), and customer rating strength (Poor(<3)/, Good (between 3 and 4.5) , Excellent>4.5). Data cleaning included consistency checks, date–time formatting, and transformation of numeric variables.

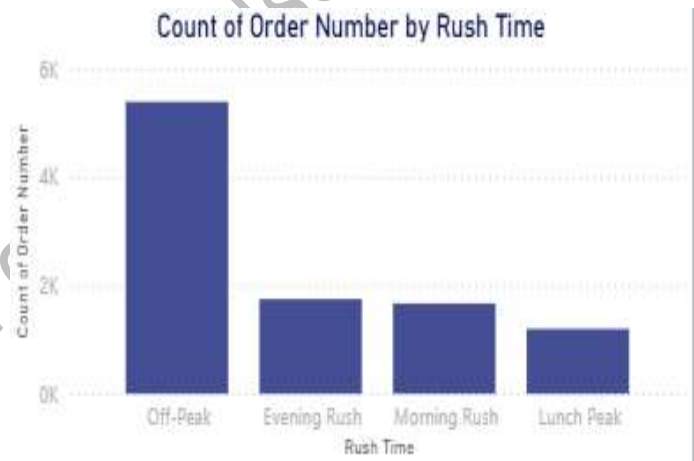


figure 2 “ source the conducted power bi dashboard by Author”

2.1.Exploratory Analysis

The data indicates a total revenue of about 4.24 million SAR , delivery duration average of 11.95 minutes , average customer rating 3 out of 5 . Then Preliminary pivot-table exploration revealed several interesting consumption and behavioral patterns:

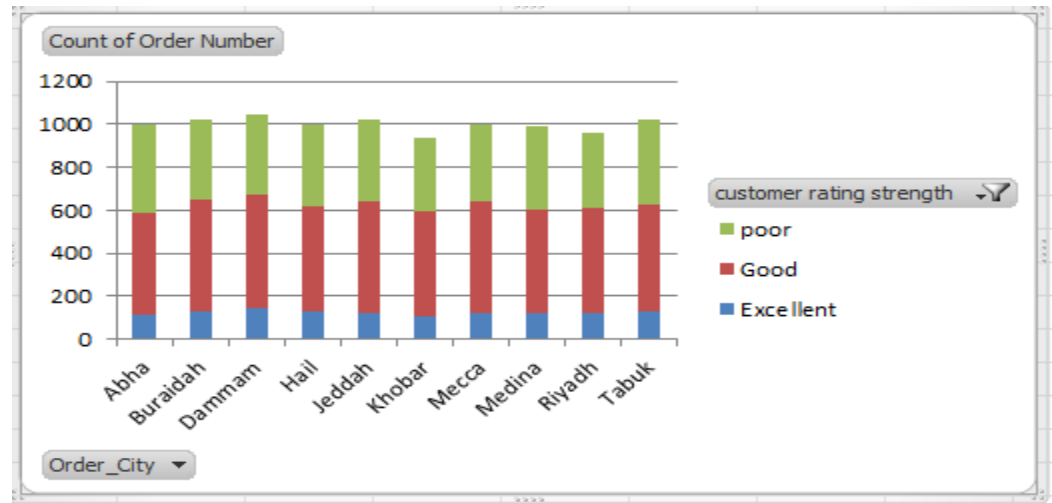
Order timing: The highest number of orders occurred during Off-Peak hours ($\approx 5,389$ orders), followed by Evening Rush (1,748), Morning Rush (1,667), and Lunch Peak (1,196). This suggests that delivery activity extends well beyond traditional meal times, reflecting flexible consumer habits and the role of late-night or between-meal ordering in Saudi Arabia.

Hourly trend: Orders peaked at 17:00 (445 orders), while the lowest activity occurred around 16:00 (365 orders), reinforcing the significance of evening hours for delivery demand.

Restaurant revenues: Vegetarian/Vegan outlets led total billing ($\approx$ SAR 369,695), followed closely by Indian Cuisine, Sushi, and Pizzerias — highlighting the growing preference for international and health-oriented dining options

“Figure 3 ; Excel Analysis”

As it can be seen from (figure 3) there is no big differences in number of orders over the 10 cities .the same in the customer rating , it can be interpreted as due to the similarity in customer behaviors within the whole kingdom.



Customer satisfaction: The correlation between delivery duration and customer rating was slightly negative (≈ -0.0016), indicating that longer delivery times does not have a significant effect on customer satisfaction. This implies that another reasons might be behind the customer evaluation rather than delivery time such as service quality and order accuracy .

2.2. Statistical Modeling with R program Language

To validate and extend these descriptive observations, I have built a multiple linear regression model in R to test whether Total Bill, Delivery Duration, Restaurant Type, Rush Time, and Hour significantly influence Customer Ratings or not.

```
Call:
lm(formula = "Customer Rating (from 1 to 5 stars)" ~ "Total Bill (in Saudi Riyals)" +
  "Delivery Duration (in minutes)" + "Restaurant Type" + "Rush Time" +
  hour, data = df)

Residuals:
    min       1q   median       3q      max
-2.07160 -0.99495  0.00366  1.00340  2.08460

Coefficients:
              Estimate Std. Error t value Pr(>|t|)
(Intercept)    3.011e+00  7.449e-02  40.420  <2e-16 ***
Total Bill (in saudi Riyals) 6.309e-06  5.481e-05   0.115   0.908
Delivery Duration (in minutes) -2.842e-04  2.639e-03  -0.108   0.914
Restaurant Type Barbecue -1.782e-02  6.004e-02  -0.297   0.767
Restaurant Type Burger  1.246e-02  6.092e-02   0.204   0.838
Restaurant Type coffee -6.245e-02  6.032e-02  -1.035   0.301
Restaurant Type Fast Food  1.459e-02  6.015e-02   0.243   0.808
Restaurant Type Indian Cuisine -7.171e-02  5.976e-02  -1.200   0.230
Restaurant Type Italian Cuisine -4.210e-02  6.013e-02  -0.700   0.484
Restaurant Type Pizzeria -5.239e-02  6.004e-02  -0.873   0.383
Restaurant Type Seafood  4.553e-03  6.001e-02   0.076   0.940
Restaurant Type Sushi -2.078e-02  5.978e-02  -0.348   0.728
Restaurant Type Sweets  3.217e-03  6.084e-02   0.053   0.958
Restaurant Type Vegetarian/Vegan -6.647e-02  6.001e-02  -1.108   0.268
Rush Time Lunch Peak  4.084e-02  4.762e-02   0.858   0.391
Rush Time Morning Rush -2.213e-02  4.633e-02  -0.478   0.633
Rush Time Off-Peak  1.499e-03  3.753e-02   0.040   0.968
hour             3.743e-04  2.003e-03   0.187   0.852

---
signif. codes:  0 '***' 0.001 '**' 0.01 '*' 0.05 '.' 0.1 ' ' 1

Residual standard error: 1.22 on 9982 degrees of freedom
Multiple R-squared:  0.0008489, Adjusted R-squared:  -0.0008527
F-statistic: 0.4989 on 17 and 9982 DF,  p-value: 0.9551
```

“Figure 4 : R multiple linear regression “

Model summary:

1-Intercept: 3.011*** ($p < 0.001$) — baseline satisfaction around 3/5 stars (confirming the analysis done by Excel and power bi)

2-Coefficients: All operational variables (bill, duration, type, rush time, hour) were statistically insignificant ($p > 0.1$).

3-Model fit: $R^2 = 0.001 \rightarrow$ the model explains less than 0.1% of the variation in customer ratings.

2.3. Interpretation and Insights

These results confirm that while Saudi consumers actively engage across various delivery periods and cuisine types, satisfaction levels remain stable and moderate, suggesting that customer perception is shaped by non-measurable qualitative factors — such as: Accuracy of the delivered order ,Food temperature, freshness ,Packaging quality and customer service experience

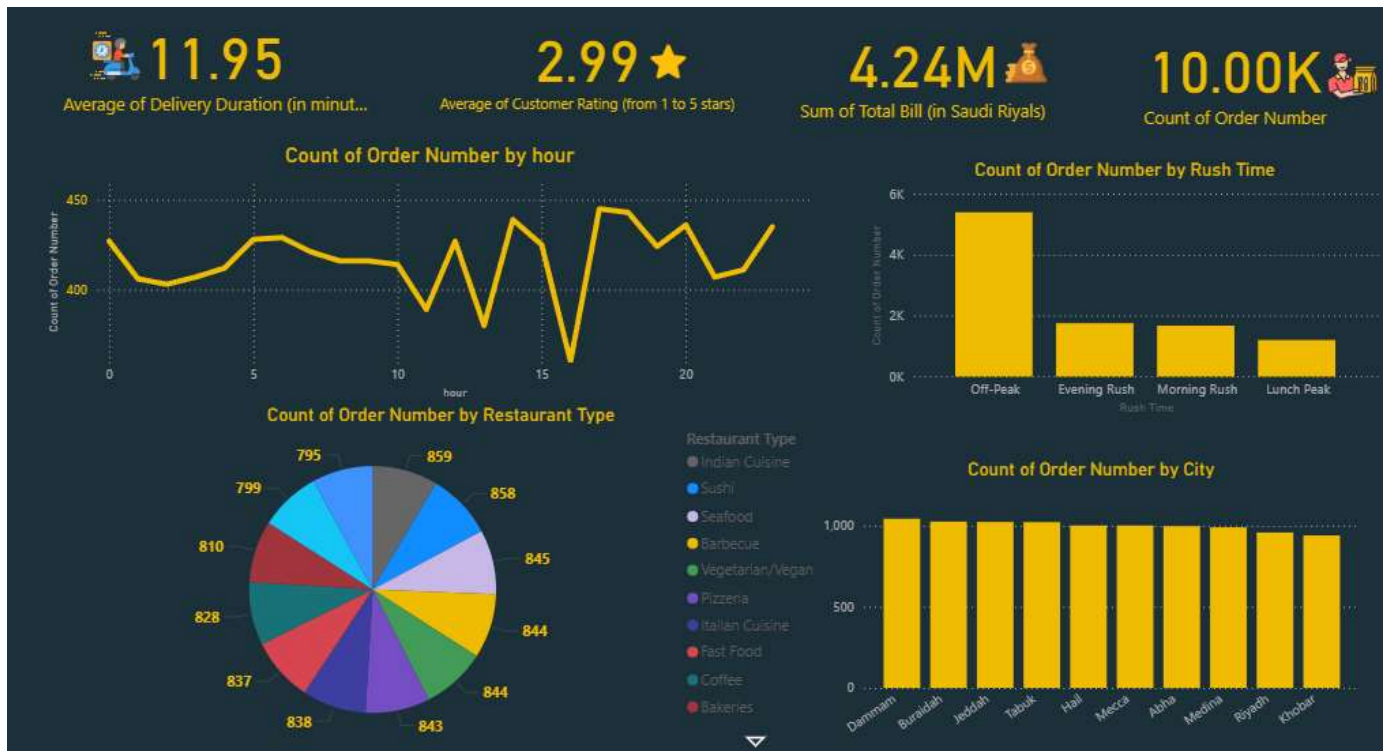
Hence, operational efficiency alone does not predict customer satisfaction; maintaining service consistency and experience quality is crucial for retention in this highly competitive quick-commerce market.

3.The definitions of some important Q-commerce and food delivery related concepts and Expressions :

YOY	a financial or performance comparison that measures growth or change in a specific metric (e.g., sales, market size) compared to the same period in the previous year
Cokitchen	a shared commercial kitchen space used by multiple restaurant or delivery brands to prepare meals efficiently for online orders without the need for a physical dine-in location.
Coshelving	a shared storage and inventory model where different virtual brands or restaurants store ingredients and supplies in the same facility to reduce costs and optimize logistics.
Kitchen clouding	a delivery-only kitchen model where restaurants cook exclusively for online orders — no dining area, just a kitchen connected to delivery apps.
Dark stores	Small warehouse-like retail spaces designed only to fulfill online orders (not open to walk-in customers), enabling fast local delivery of groceries or everyday items
Deep-pocketed	a term describing a company or investor that has very large financial resources — capable of sustaining heavy spending, losses, or aggressive expansion (e.g., “Keeta’s deep-pocketed parent company Meituan”).

4. Power BI dashboard showing the Key findings of the food delivery market dataset

As it can be noticed (from figure 5) , it summarize and visualize the main findings of the second part of this study .



“Figure 5 : power bi Analysis by Author”

5.Conclusion

With integration of business analytics and data science we can understand the nature of Q-commerce market in Saudi Arabia .Using Excel for exploratory summaries and R for inferential validation provided a balanced quantitative figures to complement the strategic market overview from Part One.

These insights bridge operational data with strategic business understanding, illustrating that consumer satisfaction in Saudi Arabia’s food delivery sector is driven more by qualitative execution than quantitative metrics a key consideration for platforms like HungerStation, Jahez, and Keeta as they optimize customer experience strategies. Moreover this study illustrates the extreme competition in this sector which necessitate the adoption of data analysis and AI automation for any player to be able to keep up with such a fast moving sector .

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